

IRCTC Established 2002

The country's largest catering and e-commerce firm, the corporation caters roughly 10 lakh meals in 255 trains daily and sells over two lakh tickets through its websites daily

COOKING UP GROWTH

Every day, 110 cooks working in five kitchens across India knead enough dough to roll and make 17,400 rotis. Last year, 4.41 crore tickets for train travel were sold online compared to 1.89 crore tickets in 2007. Every month, its bottling plants in Delhi and Bihar produce 14,000 cases of bottled water, Rail Neer. These could happen thanks to the Indian Railway Catering and Tourism Corporation (IRCTC), India's largest catering and e-commerce firm. No wonder, IRCTC's tourism revenues have increased 200 per cent since 2007.

A public sector undertaking set up by the Ministry of Railways in 2002,

IRCTC was formed to function as an arm of the Indian Railways to upgrade, professionalise and manage the catering and hospitality services at stations, on trains and other locations, and to promote domestic and international tourism through the development of budget hotels and tour packages, among others. The corporation has so far succeeded in meeting expectations. Given the long distance the trains normally cover, there is lunch, tea and dinner to worry about too. An average breakfast in the Kolkata Rajdhani requires about 2,400-2,800 slices of bread, nearly 250 omelettes and 1,400 tea bags.

The corporation caters roughly 10 lakh meals in 255 trains daily, both directly and through its various contractors. With a registered user base of over 58 lakh, more than 20 lakh tickets are booked through IRCTC's website every month and 2,26,925 tickets daily. Last year, the company's turnover was Rs 619 crore, of which Rs 450 crore came from catering and the rest from e-ticketing and tourism packages. It earned Rs 29 crore from tourism packages in the last fiscal and this year, it hopes to double it to Rs 56 crore.

Running a company of this scale is clearly a daunting task but for Rakesh Tandon, 54, managing director, IRCTC, who took charge eight months ago, "the most challenging task is not timely delivery of meals, but ensuring cleanliness and hygiene". And it begins at home—its base kitchen located behind the New Delhi station. When Tandon joined in January this year, he says, "The first thing I did was to

remove 15 truck-loads of muck from the surroundings. The kitchen is clean but old-fashioned and Rs 5 crore is being set aside for its revamp." Quality is something he is finicky about. He conducts surprise surveys to maintain standards. Recently, 386 pantry cars out of

63,221

km is the total length covered by the Indian Railways, the world's second largest rail network.

600 were surveyed and of which 47 were identified as being of poor quality. His bone of contention, however, is the lack of feedback from customers. "We get around 3,000 complaints in a year," he says. While any other company would revel in its achievement, Tandon isn't too pleased. "It's lack of awareness." He wants to change it and now IRCTC is accessible through its website and a toll free number.

Tandon has big plans, including a complete system overhaul. Also, he wants business to double to Rs 1,200 crore by 2012, of which Rs 1,000 crore will come from tourism-related services. All plans to keep the profits on the growth track.

by Nandini Valsh



Rakesh Tandon 54, Managing Director

"Our aim is to professionalise and upgrade railways' catering and tourism activities through public-private partnerships."